

The arithmetic is usually easy. Trusting the inputs and definitions is harder.

A correct formula can still produce the wrong decision when periods, units, definitions, assumptions, or source values are unclear.

01

Separate typed source values from calculated outputs.

02

State units, periods, definitions, and assumptions beside the model.

03

Make failures and unresolved review steps visible.

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ILLUSTRATIVE CALCULATION RISK

FRAGILE CALCULATION

Number first

Inputs copied into formulas

Definitions stay implicit

No closure or source review

CONTROLLED CALCULATION

Contract first

Inputs stored once

Rules and assumptions explicit

Checks and review status visible

WORKING EXAMPLE

One native Google Sheet makes the whole calculation chain inspectable.

The example separates sources, historical formulas, scenario assumptions, checks, and citations so a reviewer can trace every important output.

- 01

Self-built with public SEC data; not client work.
- 02

Historical values are typed once on Source_Data.
- 03

All other calculations and statuses are formula-driven.

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NATIVE GOOGLE SHEET STRUCTURE		TRUSTWORTHY FINANCIAL CALCULATIONS – EXAMPLE MODEL
SHEET	ROLE	CONTROL
Source_Data	Historical inputs	Typed once with period, unit, and source ID
Calculation_Lab	Growth, margins, bridge	Formula-driven outputs
Scenario_Sensitivity	Illustrative Q1 2027 mechanics	Assumptions isolated from history
Checks + Sources	Closure and evidence	PASS plus separate human attestation

Define the calculation before automating it.

A calculation contract identifies the decision, source fields, business definitions, formulas, assumptions, checks, and owner of final review.

01

Agree what the result is meant to decide.

02

Distinguish source facts from business rules and assumptions.

03

Name the checks and the human approval boundary.

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TRANSFERABLE CALCULATION CONTRACT		USEFUL FOR PRICING, KPI, RECONCILIATION, AND PLANNING WORK
ELEMENT	EXAMPLE RULE	WHY IT MATTERS
Inputs	Q1 2026 vs Q1 2025; USD thousands	Prevents period and unit mismatch
Formula	Operating income ÷ revenue	Makes the definition reproducible
Assumption	Illustrative growth rate	Keeps scenarios out of history
Acceptance	Closure gap = 0; source review named	Defines what trusted means

HISTORICAL ANALYSIS

One source block supports growth, margin, and basis-point analysis.

Because the source block is normalized once, multiple outputs remain consistent and update together.

- 01

Revenue grew 16.19%; operating income grew 18.23%.
- 02

Operating margin moved from 31.75% to 32.30%.
- 03

The 55.6-basis-point expansion is formula-derived.

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Q1 2026 VERSUS Q1 2025		USD THOUSANDS UNLESS NOTED
METRIC	Q1 2026	CHANGE
Revenue	\$12,249,757	+16.19%
Operating income	\$3,956,997	+18.23%
Operating margin	32.30%	+55.6 bps
Incremental margin	35.74%	One historical observation

Revenue change minus expense change reconciles exactly to operating-income change.

The bridge explains movement instead of merely reporting endpoints, while a closure check proves the pieces reconcile.

01	02	03
Revenue change: +\$1,706,956 thousand.	Total expense change: +\$1,096,958 thousand.	Operating-income change: +\$609,998 thousand; closure gap: zero.

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OPERATING-INCOME BRIDGE			Q1 2026 MINUS Q1 2025; USD THOUSANDS
BRIDGE COMPONENT	CHANGE	ROLE	
Revenue	+1,706,956	Starting change	
Cost of revenues	+625,091	Largest expense increase	
S&M + T&D + G&A	+471,867	Other expense increases	
Operating income	+609,998	Revenue change – expense change	
Closure gap	0	PASS	

Assumptions change the mechanics—not pasted outputs.

Illustrative Q1 2027 inputs are isolated from historical facts so sensitivity can be explored without disguising a scenario as a forecast.

01

Base mechanics use an explicit revenue-growth assumption.

02

Expense ratios remain visible and editable.

03

Outputs recalculate to about \$14.23B revenue and 32.78% margin.

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ILLUSTRATIVE Q1 2027 MECHANICS			NOT NETFLIX GUIDANCE OR A FORECAST
ASSUMPTION OR OUTPUT	BASE CASE	BOUNDARY	
Revenue growth	16.19%	Illustrative input	
Revenue	\$14,232,993	Formula output; USD thousands	
Operating income	\$4,665,805	Formula output; USD thousands	
Operating margin	32.78%	Changes with assumptions	

A result is not verified until checks and source attestation pass.

Internal formulas can prove arithmetic consistency, but they cannot independently prove that a human transcribed every source value correctly.

- 01

Formula-driven model checks currently pass.
- 02

Independent source transcription attestation remains REVIEW.
- 03

The combined status refuses to hide the unresolved step.

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TWO DIFFERENT KINDS OF ASSURANCE

CALCULATION STATUS

PASS

Bridge closes to zero

Margins and basis points reconcile

Scenario outputs remain formula-driven

SOURCE ATTESTATION

REVIEW

Verifier and date still required

Official filing references are recorded

Human evidence check stays separate

AI can recover structure. It should not own the math.

AI is useful at bounded input exceptions; deterministic formulas and explicit validation should remain authoritative.

01

A difficult official PDF page produced zero deterministic tables.

02

One bounded recovery returned 13 reviewable rows at an estimated \$0.0095.

03

Recovered structure still requires validation before formulas use it.

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SECONDARY PROOF: BOUNDED PDF EXCEPTION

DETERMINISTIC BASELINE

0 tables found

Failure recorded

No invented cells

Rest of workflow continues

BOUNDED AI RECOVERY

13 reviewable rows

One official page only

Source and cost retained

Deterministic math remains downstream

THE TRANSFERABLE OFFER

The contract transfers; the financial example does not have to.

The same discipline can support pricing, forecasts, reconciliations, KPI models, capacity plans, and spreadsheet-backed workflows.

- 01

Start with one bounded decision and calculation contract.
- 02

Build the formulas and checks in a reviewable operating surface.
- 03

Automate only the accepted workflow.

NEXT STEP

Have a calculation that needs to be trustworthy?

Use my Upwork profile to message me about the calculation or model you need reviewed.

[View Mike Lottridge on Upwork](#)

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A SMALL, TRUSTWORTHY ENGAGEMENT

1 Scope Name one decision, its inputs, and definitions.	2 Model Build explicit formulas and assumptions.	3 Verify Exercise checks, evidence, and failure paths.	4 Automate Scale only the reviewed calculation contract.
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